A STUDY FINANCIAL INLUSION AND ITS RELATION TO GDP OF THE COUNTRY WITH RELATION TO PM JAN DHAN YOJNA



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UNDER SUPERVISION OF:

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DECLARATION

I hereby declare that the Dissertation work titled **"*A STUDY FINANCIAL INLUSION AND ITS RELATION TO GDP OF THE COUNTRY WITH RELATION TO PM JAN DHAN YOJNA"*** *submitted to the Department of Economics, Faculty of Social Sciences, Banaras Hindu University, Varanasi is prepared by me under the guidance of Dr. Priyabrata Sahoo. The work is original and I further confirm that all the material which I had taken and borrowed from other sources and incorporated into this work are duly acknowledge. If any material is incorporated into this work without due acknowledgment, it will be entirely my responsibility. This has not submitted to any other agencies/institutions for any other purpose.*

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CERTIFICATE

This is to certify that the dissertation titled **"A STUDY FINANCIAL INLUSION AND ITS RELATION TO GDP OF THE COUNTRY WITH RELATION TO PM JAN DHAN YOJNA**" is an original work of the student and is being submitted in the partial fulfillment of B.A(Hons.) Economics-2024 from BANARAS HINDU UNIVERSITY. The report has not been submitted earlier either to this University/Institution for the fulfillment of the requirement of a course of study.

SIGNATURE OF SUPERVISOR **SIGNATURE OF STUDENT**

DATE: **DATE:**

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INTRODUCTION-

India, with a population of 1.2 billion, spans 29 states and seven union territories. The country has approximately 600,000 villages and 640 districts. A significant portion of the population, particularly in rural areas, lacks easy access to financial services. While 40% of households have bank accounts, only 38% of the 117,200 branches of scheduled commercial banks operate in rural regions. Globally, the accessibility of financial services at affordable and appropriate prices has been a long-lasting issue. Therefore, the need for an inclusive financial system is critical, not just in India but in many countries worldwide. Improved financial access can enhance the financial condition and living standards of the poor and marginalized. Consequently, the RBI has been actively encouraging the banking sector to expand its network by establishing new branches and installing ATMs. financial inclusion plays a critical role in ensuring the effective delivery of government benefits and services. Through mechanisms like direct benefit transfers, subsidies and welfare payments can reach the intended recipients more efficiently, minimizing leakages and corruption. Additionally, by formalizing savings and encouraging the use of digital payment systems, financial inclusion contributes to greater financial stability and a more transparent economy. This shift not only aligns with national development goals but also supports the United Nations Sustainable Development Goals (SDGs), particularly those focused on poverty reduction, economic growth, and reducing inequalities.

To address these challenges, several initiatives have been implemented. The Pradhan Mantri Jan Dhan Yojana (PMJDY) aims to provide universal access to banking facilities, ensuring that every household has at least one bank account. The Digital India program promotes the development of digital infrastructure, enabling the delivery of services electronically. Microfinance institutions play a crucial role in extending small loans to individuals who lack access to traditional banking services, while banking correspondents serve as agents to provide banking services in remote areas.

Financial inclusion involves providing financial services, including banking and credit, at affordable costs to disadvantaged and low-income groups who are often excluded. It emphasizes the participation of vulnerable groups, such as weaker sections of society and low-income individuals, ensuring they have access to financial services like savings and payment accounts, credit, insurance, and pensions.

The Significance of Financial Inclusion: Financial inclusion refers to the accessibility and affordability of financial services for all individuals, especially those marginalized and underserved by traditional banking systems. It plays a vital role in reducing poverty, promoting economic development, and fostering social inclusion. Through initiatives aimed at enhancing financial literacy and expanding access to financial services, financial inclusion can empower individuals to improve their financial well-being and seize opportunities for growth.

Importance of Banking in Financial Inclusion:

1. Expanding Access to Banking Services: Banking institutions serve as the primary channel through which individuals can access a wide range of financial services, including savings accounts, loans, and payment facilities. By establishing robust banking infrastructure and networks, countries can ensure that even remote and marginalized communities have access to basic financial services.
2. Promoting Financial Literacy: Banks play a pivotal role in promoting financial education and literacy among their customers. By offering tailored financial products and services, providing training on financial management, and raising awareness about the benefits of saving and investing, banks can empower individuals to make informed financial decisions and improve their financial well-being.
3. Enhancing Digital Financial Inclusion: With the rise of digital banking and mobile payment solutions, banks have the opportunity to reach a broader audience and provide convenient, cost-effective financial services to underserved populations. By leveraging technology and innovation, banks can bridge the gap between traditional banking services and the unbanked or underbanked segments of society.

Initiatives for Promoting Financial Inclusion:

- Establishing mobile banking services to reach remote areas.
- Providing microfinance loans to low-income individuals and entrepreneurs.
- Creating financial literacy programs in collaboration with schools and community organizations.
- Offering low-cost or no-fee bank accounts for individuals with limited financial resources

Pradhan Mantri Jan Dhan Yojana (PMJDY) refers to the comprehensive initiative launched by the Government of India to ensure access to financial services for all households in the country, particularly targeting the unbanked and underprivileged sections of society. Here's how the PMJDY facilitates financial inclusion

1.Universal Access to Banking Facilities: PMJDY aims to provide every household with at least one basic banking account. This initiative ensures that even the most remote and underserved areas have access to banking services.

2.No Minimum Balance Requirement: Accounts opened under PMJDY do not require a minimum balance, making it easier for low-income individuals to maintain an account.

3.RuPay Debit Card: Account holders are provided with a RuPay debit card, which can be used for cash withdrawals and payments. This promotes cashless transactions and financial literacy.

4.Overdraft Facility: After six months of satisfactory operation, account holders are eligible for an overdraft facility up to ₹10,000, providing them with access to credit when needed.

5.Accidental Insurance and Life Cover: PMJDY accounts come with an accidental insurance cover of ₹1 lakh and a life cover of ₹30,000, enhancing the financial security of the account holders.

6.Direct Benefit Transfer (DBT): The scheme facilitates the direct transfer of government subsidies and benefits to the beneficiaries' bank accounts, reducing leakages and ensuring timely payments.

7.Financial Literacy Programs: The initiative includes efforts to educate people about financial management, savings, and responsible borrowing, thus empowering them to make informed financial decisions.

8.Micro-Insurance and Pension Schemes: PMJDY links account holders with other financial products like micro-insurance and pension schemes, broadening their financial safety net.

By addressing these key areas, the Pradhan Mantri Jan Dhan Yojana plays a crucial role in promoting financial inclusion, aiming to integrate the economically weaker sections into the formal financial system and thereby fostering economic growth and stability.

The Significance of PM JAN DHAN YOJNA

Financial inclusion plays a pivotal role in fostering inclusive growth by empowering individuals, especially those belonging to marginalized communities, to participate in the formal economy. PMJDY aimed to bridge the gap between the financially excluded population and the formal banking system. Let's explore how this initiative has influenced the country's GDP growth.

Access to Formal Banking Services

- PMJDY facilitated the opening of basic bank accounts for millions of unbanked individuals, thereby bringing them into the formal financial system.
- The provision of banking services like direct benefit transfer, overdraft facilities, and access to credit has had a positive impact on the economic participation of previously excluded segments.

Increase in Savings and Investments

- By providing a platform for individuals to save and invest their earnings securely, PMJDY has encouraged a culture of financial prudence and savings among the population.
- The availability of insurance and pension schemes under PMJDY has further incentivized individuals to secure their financial futures, leading to increased investments.

Boost in Credit Availability

- The availability of credit through PMJDY accounts has enabled individuals to access funds for entrepreneurial ventures, education, healthcare, and other economic activities.
- This increased access to credit has stimulated economic growth at the grassroots level, driving entrepreneurship and small business development.

Impact on GDP Growth

The widespread implementation of PMJDY and the subsequent enhancement of financial inclusion have had a profound impact on the country's GDP growth trajectory. Let's examine the key ways in which PMJDY has influenced GDP growth.

Contribution to Economic Activity

- The integration of previously unbanked individuals into the formal financial system has expanded the consumer base and catalysed economic activity across various sectors.
- Increased financial transactions, savings mobilization, and credit flow have fuelled consumption, investment, and overall economic growth.

Strengthened Economic Resilience

- Improved access to banking services and formal financial instruments has enhanced the resilience of individuals and communities against economic shocks.
- The ability to save, invest, and access credit has enabled individuals to withstand unforeseen challenges and contribute positively to economic stability.

Enhanced Productivity and Innovation

- By providing a financial platform for individuals to invest in their skills, education, and entrepreneurial endeavours, PMJDY has fostered innovation and productivity.
- The increased availability of credit has spurred innovation in various sectors, leading to enhanced productivity and competitiveness in the economy.

LITERATURE REVIEW

1. Dangi, N., & Kumar, P. (2013). Current situation of financial inclusion in India and its future visions—in this research paper he examined the initiatives and policy measures taken by RBI and Government of India. This study also focused on current status and future prospects of financial inclusion in India. It has been concluded that financial inclusion shows progressive and valuable changes but sufficient provisions should be incorporate in the business model to certify that the poor are not driven away from banking.

2. Sharma, N., & Goyal, R. (2017). Pradhan Mantri Jan Dhan yojana (pmjdy) -a conceptual study- Since independence, the Indian government has implemented numerous initiatives to promote financial inclusion. Recently, the Pradhan Mantri Jan-Dhan Yojana (PMJDY) was launched to address the shortcomings of previous efforts. PMJDY is a major financial initiative aimed at providing banking facilities to all households in the country, along with inbuilt insurance coverage. In this context, a study was conducted to assess the success rate of the financial inclusion process in the rural areas of Jaipur district. The study utilized both primary and secondary data. The correlation (r) test was employed to determine the relationship between socio-economic backgrounds and the financial inclusion process. The findings indicate that income, financial information from various channels, and awareness of PMJDY are significant factors influencing financial inclusion. Proximity to banks also increases the likelihood of inclusion.

3. Suryanarayana, M. H. (2008). What Is Exclusive about' Inclusive Growth'?.- he focused on definition of inclusion/exclusion with reference to an outcome scenario for broad-based growth as reflected in estimates of production, income, and consumption distribution. The study helps in drawing a sketch of occupational, social, regional profiles of the excluded in the mainstream growth process. Hence researcher made an attempt to provide a perspective\ distribution for the year 2004–2005 for India.

4. Meera, M. R., Kaleeswaran, P., & Gurunandhini, R. (2017). Financial Inclusion through Pradhan Mantri Jan-Dhan Yojana (PMJDY) Scheme- Financial inclusion is a forward-thinking concept that promotes banking habits and serves as a catalyst for poverty reduction. The launch of PMJDY by the Government of India aligns with this goal. Announced by

Prime Minister Narendra Modi at the historic Red Fort on Independence Day 2014, PMJDY goes beyond merely opening bank accounts. It offers additional benefits such as zero balance accounts with RuPay debit cards and accidental insurance cover of ₹1 lakh. Accounts opened by January 26, 2015, also received a life insurance cover of ₹30,000, in addition to the ₹1 lakh accident insurance. This paper aims to study the necessity of financial inclusion in India, the foundational elements of PMJDY, and the current status and progress of the scheme.

5.Dr. R.L Das,Dr. R.d Barman,&Bishal Patowary(2022), A Study on Financial Inclusion through Pradhan Mantri Jan Dhan Yojana in Assam with Special Reference to Kamrup District- The researcher aimed to determine whether the beneficiaries of the Pradhan Mantri Jan Dhan Yojana (PMJDY) in the study area are aware of the various facilities provided under this scheme. It was found that most respondents learned about PMJDY through bank promotions and government initiatives. Many perceive the scheme as a significant step towards addressing financial needs and an essential tool for financial inclusion. Additionally, most respondents are aware of the benefits offered under the scheme and are satisfied with the cooperation of bank officials in assisting them to open accounts. However, the study revealed that while some respondents are knowledgeable about the various services such as the RuPay Debit Card, Direct Benefit Transfer, and insurance coverage, there is a segment of respondents who are completely unaware of these facilities. Therefore, the researcher suggests that banks should establish more financial literacy centres to educate and inform the beneficiaries about the scheme's benefits. Furthermore, the survey indicated a lack of ATMs in the study area, causing inconvenience to the respondents, thus necessitating an increase in ATM services.

6. Nimbrayan, P. K., Tanwar, N., & Tripathi, R. K. (2018). Pradhan Mantri Jan Dhan yojana (PMJDY): The biggest financial inclusion initiative in the world. *Economic Affairs*- This study reviews the current status of the Pradhan Mantri Jan Dhan Yojana (PMJDY) and financial inclusion in India. To promote the sustainable development of the Indian economy, the Government of India launched PMJDY on August 28, 2014. Financial inclusion is an innovative concept that empowers alternative techniques to encourage banking practices and serves as an enabler for poverty reduction. By February 7, 2018, a total of 18.28 crore accounts had been opened in rural areas by public sector banks, Regional Rural Banks (RRBs), and private sector banks. Overall, 31.07 crore accounts had been opened in both

rural and urban areas. The total amount deposited in these accounts under PMJDY was ₹74,534.79 crores. In Haryana, household coverage reached 100%, and the North Zone of India, excluding Jammu & Kashmir (99.71%), also achieved 100% household coverage. Thus, the PMJDY scheme plays a significant role in creating a universal platform for financial services accessible to every citizen of India.

7. Davies, F., Moutinho, L., & Curry, B. (1996). ATM user attitudes: a neural network analysis.- This study demonstrates how neural networks can integrate psychometric and econometric methods to measure attitudes and perceptions. A neural network was used to analyze data collected from ATM users regarding their perceptions of ATM services. By examining the weights of connections from input nodes to hidden nodes, the hidden nodes were labelled to represent specific respondent attitudes.The network analyzed the impact of explanatory (input layer) variables on the hidden layer attributes, and subsequently on the endogenous (output layer) variables—namely, satisfaction with ATMs, likelihood of recommendation to others, and the extent and frequency of use. The analysis identified four user types: “disaffected youth,” “technophobes,” the “pro-technology” segment, and the “cost-conscious” segment. The study offers insights into how banks could tailor their services to meet the needs of each segment, providing targeted strategies to improve customer satisfaction and engagement.

8. Raj, G. R. (2018). Growth and Development of ATM in India- This paper explores the various types of Automated Teller Machines (ATMs) in India and examines the growth and usage of ATMs within the Indian banking sector. The study reveals significant growth in ATM services in India, with a steadily increasing number of people using ATMs daily. Currently, there are nearly ten different types of ATMs available for use in the Indian banking sector.

9. Deb, R., & Das, P. (2016). *Perceptions of bank account holders about PMJDY-A study on Baikhora Region of South Tripura*. SSRN- The study explored the motivating factors for residents of Latuatila village in the Baikhora region of Santi bazar sub-division, Tripura South, Tripura, India, to open bank accounts under PMJDY and their preference for nationalized banks. Data was collected using an interview schedule with 37 questions in three stages from a sample of 125 respondents selected through various non-probability sampling techniques and processed using IBM SPSS-20. To validate the questions, a protocol interview

with 10 experts and a pilot survey with 30 respondents were conducted, followed by reliability and sample adequacy tests. Factor analysis identified four major motivating factors. Hypotheses were tested using several statistical methods, including Independent Sample t-tests, Cross-tabulation, and Regression analysis.

The empirical results highlighted catalysts such as demographic characteristics, service quality, and scheme benefits, which attracted respondents to nationalized banks over private banks due to policy gaps and perceptions. Public sector banks can use these insights to enhance their strategic policies to attract potential customers and compete with private players in PMJDY. The study offers policy relevance, acknowledges a few limitations, and suggests future research directions.

10. Mostafa, S., Ashraf, S. E., & Marwa, E. (2023). The Impact of Financial Inclusion on Economic Development. *International Journal of Economics and Financial Issues*-This study aims to evaluate the effects of financial inclusion on economic development in the MENA region. Specifically, it investigates how financial inclusion impacts economic growth in these countries. To achieve this, a three-dimension Financial Inclusion Index (FII) was developed using Principal Component Analysis (PCA) to measure each country's level of financial inclusion. The dimensions considered are access to, usage of, and quality of financial services. Data was collected from 18 MENA countries over the period from 2004 to 2019.Using a 2-step Generalized Method of Moments (GMM) system, the results indicate that an increase in financial inclusion significantly enhances economic development in the MENA region.

RESEARCH GAP

In India, effective financial inclusion is essential for uplifting the poor and disadvantaged by providing them with proper financial products and services. This fosters inclusive growth that benefits deprived and marginalized sections of society. Various studies have examined financial inclusion by analysing selected banks and the state-wise growth of financial inclusion. Some research has also looked into the impact of financial inclusion on India's economic growth with PMJDY, yielding mixed results. Against this backdrop, this research study aims to evaluate the state of financial inclusion in India and assess its role in the country's economic growth considering effect of Pradhan Manti Jan Dhan Yojna in the economy

OBJECTIVE OF THE STUDY-

1.To investigate the major factors affecting access to financial services.

2.To study the impact of financial inclusion indicators on growth of Indian economy after the introduction of PMJDY

RESEARCH METHODOLOGY-

This study is based on secondary data that was mainly collected from Report of RBI, Government of India, Reports on trend and progress of banking in India, Research Articles and Research Journals. Various websites were also used like RBI, Ministry of Finance and PMJDY. The period under consideration for the study is seven years from 2013–2014 to 2021-2022.

Data has been analysed by applying multiple regression as a main statistical tool. Multiple regression analysis has been used to establish an empirical relationship between Financial Inclusion and growth of the country. The present study taking Gross Domestic Product (GDP) as a dependent variable and independent variables are Number of Bank Branches in the country and ATMs growth rate across the country.

$$\mathbf{Y= b0 +b1X1 +b2X2 + \varepsilon}$$

Where,

***Y*=Gross Domestic Product (GDP)**

***X*1=Number of Bank Branches**

***X*2=ATMs growth rate**

Hypothesis of the study

On the basis of the objectives of the study, following hypothesis has been formulated:

H01: There is no significant impact of financial inclusion on the growth of Indian economy.

HA1: There is a significant impact of financial inclusion on the growth of Indian economy.

Sub hypothesis-

H01.1: There is no significant impact of Number of bank branches on Indian GDP.

HA1.1: There is a significant impact of Number of bank branches on Indian GDP.

H01.2: There is no significant impact of Number of ATMs on GDP of Indian economy.

HA1.2: There is a significant impact of Number of ATMs on GDP of Indian economy.

Financial inclusion and Indian banking network: -

In a country as diverse and populous as India, ensuring financial inclusion is crucial for driving economic growth and development. The Indian banking system plays a pivotal role in expanding access to financial services and fostering a more inclusive society. The Indian banking sector has made significant strides in promoting financial inclusion through various initiatives and reforms. From the introduction of no-frills accounts to the implementation of the Pradhan Mantri Jan Dhan Yojana (PMJDY), the banking system has been at the forefront of expanding access to financial services for all. With the rise of fintech companies, the Indian banking system has witnessed a significant transformation in how financial services are delivered. Fintech innovations, such as mobile banking, digital wallets, and online lending platforms, have played a crucial role in reaching underserved populations and facilitating easy, convenient access to financial products.

Technology has been a game-changer in promoting financial inclusion in India. The advent of digital banking solutions and biometric identification systems has made it easier for individuals in remote areas to open bank accounts, access credit, and make digital transactions. By leveraging technology, the Indian banking system is breaking barriers and reaching the last mile. AePS (Aadhaar-enabled Payment System) averages Aadhaar authentication to enable transactions through micro-ATMs in remote areas, bringing banking services closer to the underserved population. This innovative approach has significantly enhanced financial access for marginalized communities and empowered them to participate in the formal economy.

The RBI has encouraged banks to implement a planned and structured Financial Inclusion Plans (FIPs) for the growth and development of the country. The first phase of FIPs was covered a time period of three years which has started from 2010 and ends in 2013. FIPs have been used by Reserve Bank of India (RBI) for measuring the banks performance under their FI initiatives

Government launched Pradhan Mantri Jan Dhan Yojna in 2014. It is a national mission with an aim to provide access to various financial services including Remittance, Credit, Insurance, Pension, Banking Savings & Deposit Accounts in an affordable manner. It displays that a large number of bank accounts have been opened during this period and shaped a big banking network across the country.

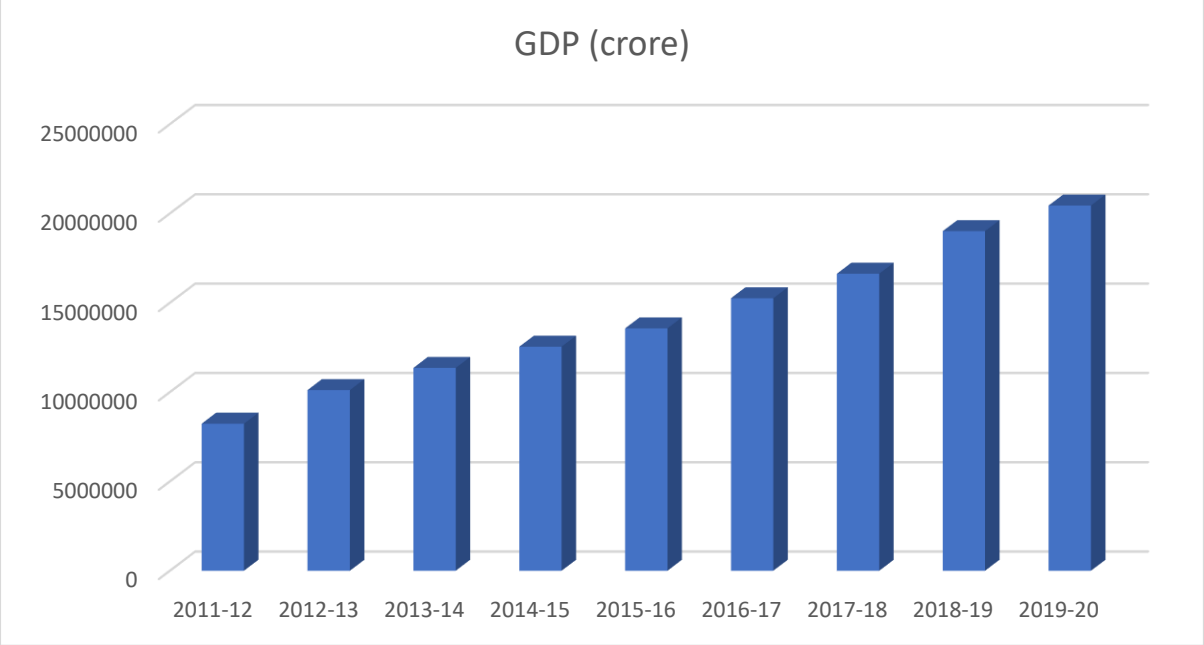
FINANCIAL INCLUSION PROGRESS REPORT-BY RBI

Particulars	Mar 2010	Dec 2020	Dec 2021
Banking Outlets in Villages- Branches	33,378	55,073	53,249
Banking Outlets in Villages>2000*-BCs	8,390	8,49,955	15,18,496^
Banking Outlets in Villages<2000*-BCs	25,784	3,44,685	3,26,236
Total Banking Outlets in Villages - BCs	34,174	11,94,640	18,44,732^
Banking Outlets in Villages - Other Modes	142	3,464	2,542
Banking Outlets in Villages -Total	67,694	12,53,177	19,00,523
Urban Locations Covered Through BCs	447	3,24,507	14,12,529^
BSBDA - Through Branches (No. in lakh)	600	2,712	2,712
BSBDA - Through Branches (Amt. in crore)	4,400	1,21,219	1,18,625
BSBDA - Through BCs (No. in lakh)	130	3,672	3,919
BSBDA - Through BCs (Amt. in crore)	1,100	78,284	95,021
BSBDA - Total (No. in lakh)	735	6,384	6,631

BSBDA - Total (Amt. in crore)	5,500	1,99,503	2,13,646
OD Facility Availed in BSBDAs (No. in lakh)	2	59	64
OD Facility Availed in BSBDAs (Amt. in crore)	10	505	556
KCC - Total (No. in lakh)	240	490	473
KCC - Total (Amt. in crore)	1,24,000	6,79,064	6,93,596

DATA ANALYSIS

(FIG.1)



GDP is an important economic indicator to find out the growth of a country and it is widely used by researchers FIG.1 illustrates Gross Domestic Product (GDP) of India during a period of nine years starting from the financial year 2011–2012 to the financial year 2019–2020. GDP has been on continuous increase during these financial years.

As one of the fastest-growing economies in the world, has witnessed significant shifts in its GDP growth trajectory over the past decade. In this article, we will delve into the details of India's GDP growth from the financial 2011-12 to 2019-20, analysing the key factors, trends, and implications that have shaped the country's economic landscape during this period.

In 2011-12, India's GDP growth stood at a robust 6.3%, driven by strong performances in sectors like agriculture, manufacturing, and services. The government's focus on infrastructure development and policy initiatives aimed at boosting domestic consumption played a crucial role in sustaining economic growth during this period. The years following 2011-12 witnessed a series of policy reforms aimed at revitalizing the economy and fostering sustainable growth. The introduction of structural reforms such as demonetization and the implementation of the Insolvency and Bankruptcy Code (IBC) had a mixed impact on India's GDP growth trajectory.

Factors involved in the growth of economy during this period include-

(a) Demonetization in 2017 -The sudden withdrawal of high-denomination currency notes aimed to curb black money and counterfeit currency but led to a short-term economic slowdown due to cash shortages, affecting consumption and small businesses.
(b) Goods and Service Tax implementation in 2017 -The introduction of GST was a significant tax reform intended to unify the indirect tax system. While beneficial in the long term, it caused initial disruptions and compliance challenges for businesses.
(c) Make In India-launched in 2014 with the initiative to aimed to boost manufacturing and attract foreign direct investment (FDI). While it brought some investments, this impact on overall manufacturing growth of the country
(d) Insolvency and Bankruptcy Code (IBC)- introduced in 2016, the IBC aimed to resolve insolvencies efficiently, improving the ease of doing business and credit environment

(FIG-2)

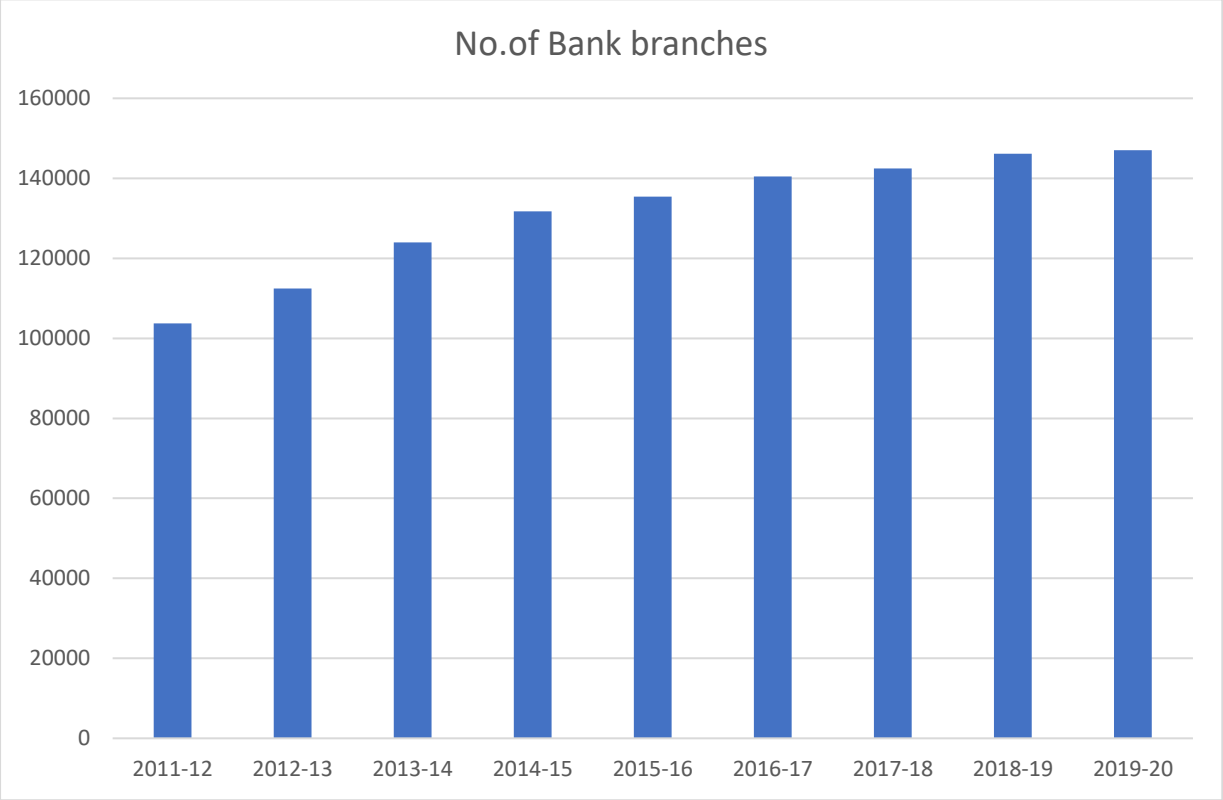


FIG.2 shows the trend of number of functioning branches of Scheduled Commercial Banks (SCBs) in the country. It is clear from the graph that bank branches showing an increasing trend over the period of nine year. In 2011-12 there were bank 103712 branches, early in this decade the banking sector was expanding rapidly to increased financial inclusion particularly in rural and semi-urban areas in the country. In 2012-13 there were 112432 branches which shows the continued expansion driven by the government initiatives and regulatory encouragement to extend banking services to underserved areas. In 2013-14 the number of bank branches rises to 123951 with the growth fuelled by the launch of financial inclusion programs and increased focus on rural banking. Following the growth trend the number of bank branches increased to 131750 in 2014-15 with the launch of Pradhan Mantri Jan Dhan Yojna (PMGDY) launched in 2014 significantly boosted banking penetration leading to more branch openings. In 2015-16 the number of bank branches counted 135423 to which shows the trend of opening new branches continued although the pace of expansion began to moderate slightly. Despite the effects of demonetization in 2016-17 the number of branches counted 140464 to which continued to grow as banks focused on enhancing their physical presence. With the focus shifting towards digital banking channels as well the number of bank branches increased to

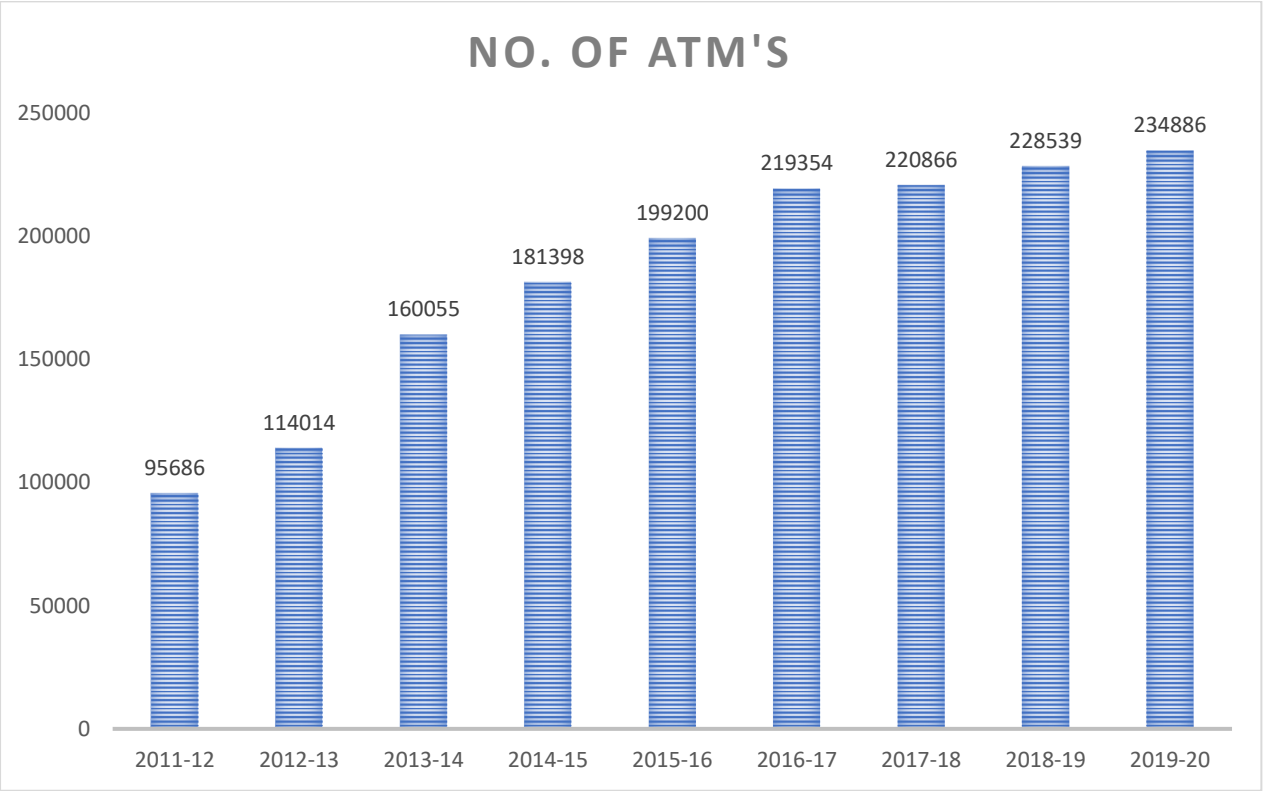
142471 in 2017-18. Also, in 2018-19 the number of bank branches counted to 146186, the banking sector saw moderate growth in branch number as digital and mobile banking gained prominence. In 2019-20 the branch expansion slows counted to number of bank branches to 147026 which reflects a shift towards digital banking solutions and rationalization of branch networks to improve efficiency.

The period from 2011-12 to 2019-20 saw significant growth in the number of functioning branches of Scheduled Commercial Banks in India, driven by a strong emphasis on financial inclusion and expanding banking services to rural and semi-urban areas. However, the pace of branch expansion moderated towards the end of the decade as banks increasingly adopted digital banking solutions and rationalized their physical branch networks in response to changing consumer preferences and technological advancements. This trend reflects a broader shift in the banking industry towards balancing physical presence with digital accessibility to provide comprehensive financial services

Factors influencing the trend involved-

(a) Financial Inclusion Initiatives- government programs like PMJDY and initiatives to promote rural banking played a significant role in increasing the number of branches.
(b) Regulatory Encouragement- the Reserve Bank of India(RBI) and other regulatory bodies encouraged banks to expand their presence especially in rural and underserved areas.
(c) Technological Advancements- as the digital banking, mobile banking and ATMs become more prevalent the necessity for physical branches started to decrease leading to more measured pace of branch expansion.
(d) Economic Reforms and Policies- economic policies and reforms influenced the banking sector’s strategy including branch expansion plans and efforts to improve operational efficiency.
(e) Bank Mergers and Consolidation- consolidation in banking sector particularly among public sector banks led to the rationalization of branch networks to avoid duplication and improve profitability.

(FIG.3)



The study also covered the Automatic Teller Machines (ATMs) in India as an indicator of financial inclusion growth. The number of ATMs has continuously increased from the financial year 2011-12 to the financial year 2019–2020. FIG.3 depicts growth rate of ATMs across the country and 40.3% maximum growth has been noticed during the year 2013–2014. Minimum growth has been observed in 2019–2020 and it is dropped to 2.7%.

The period from 2011-12 to 2019-20 saw substantial growth in the number of ATMs in India, driven by efforts to enhance financial inclusion and accessibility. However, the growth rate moderated towards the end of the decade due to the increasing adoption of digital payment methods, cost considerations, and strategic shifts by banks towards digital banking channels. The trend reflects the evolving landscape of banking in India, where physical and digital infrastructure coexist to meet diverse customer needs. In 2011-12 early in the decade, the banking sector began rapidly deploying ATM's to provide easy access to cash and basic banking service which counted to the number of ATM's to .In 2012-13 The number of ATM's were ,the growth which was driven by the expansion of banking services and the push for financial inclusion with a significant increase in both urban and rural areas. During the year 2013-14 a significant jump observed in the number of ATMs as banks aggressively

rolled out ATMs supported by regulatory encouragement and increasing demand for convenient banking services with the launch of Pradhan Mantri Jan Dhan Yojna on 15th August 2014. Also, in the year 2014-15 the effect of PMJDY can be seen which amounts to number of ATMs to. In the year 2015-16 the ATM network continued to expand counts to but at slightly slower pace as banks focused on optimizing their ATM deployment strategies. Growth was increased during the year 2016-17 by the need for cash access due to demonetization in 2016 as well as the continuous efforts to increase banking reach which counts to number ATMs to. In year 2017-18 the growth was stagnant reflecting a saturation point in some urban areas and a shift towards digital payment solutions. In 2018-19 the number of ATM's remained relatively stable indicting a balance between adding new machines and retiring less used ones. Also, in 2019-20 the marginal increase as the bank focused on more on digital banking channels and rationalized ATM networks to improve efficiency and reduce costs.

Factors Influencing ATM Growth-

(a) Financial Inclusion Initiative - Government schemes like PMJDY increased the demand for ATMs to cater to the new bank account holders, especially in rural areas.
(b) Technological Advancements- Advancements in ATM technology improved the functionality and security of ATMs, encouraging more widespread deployment.
(c) Digital Payment Growth- The increasing popularity of digital payment methods such as UPI, mobile wallets, and internet banking began to reduce the reliance on cash, impacting the growth rate of ATMs.
(d) Regulatory Policies- The Reserve Bank of India (RBI) and other regulatory bodies issued guidelines to ensure ATM penetration in rural and underserved areas, but also focused on enhancing digital infrastructure.
(e) Operational Costs- High costs associated with deploying and maintaining ATMs, including security and cash management, influenced banks to optimize and sometimes reduce their ATM networks
(f) Demonetization Impact- The 2016 demonetization led to a temporary surge in ATM usage and the need for additional machines, but also accelerate.

RESULT

With all the data available of GDP, number of bank branches and ATM's , the multiple regression operation is performed using M.S Excel's Data Analysis tool .

Table-2 indicates the model summary of multiple regression analysis which is carried out through MS-EXCEL. The result of the Model shows that the value of R is 0.953, which indicates a high correlation between dependent (GDP) and independent variables i.e. Number of Bank Branches and Number of ATM's. The value of R square is 0.908 and Adjusted R square is 0.877. The p-value of the model is 0.002 which is less than .05 indicating that the regression model is statistically significant and a fit model.

(TABLE-2)

R	**R square**	**Adjusted R square**
0.953	0.908	0.877

(TABLE-3)

Regression Coefficients-

	Coefficients	***Standard Error***	***t Stat***	***P-value***	***HO Accept/Reject***
Constant	-14523026.78	7119625	-2.039858448	**0.087462**	
No. of Bank branches	221.6504935	48.89683	4.533023943	**0.003962**	**Rejected**
No. of ATMs	-40760.96489	60433.37	-0.674477741	**0.525129**	**Accepted**

Table-3 illustrates the results of regression analysis for GDP and Financial inclusion indicators, it is to be noted that financial inclusion variables include Number of bank branches and Number of ATMs in the country. Results of multiple regression reveals that the beta value of Number of bank branches is 221.6 which shows a positive impact on GDP. The p value is 0.003 which is less than .05 at 5% level of significance, which indicates that there is a statistically significant impact on GDP. It further reveals that the beta value of Number of ATM's is −40760.96 and p value is 0.525 which shows negative insignificant impact on GDP, as the p value is more than .05. Putting the values in the regression model we get the multiple regression model as-

$$Y = -14523026.78 + 221.6504935X1 - 40760.96489X2 + \varepsilon$$

Therefore, study find the vigorous relationship between economic growth and financial inclusion indicators in India.

CONCLUSION-

In developing economies like India, the banks work as mobilizers of savings and allocators of credit for production and investment and have a very critical role. As a financial intermediary, the banks contribute to the economic growth of the country by identifying the entrepreneurs with the best chances of successfully initiating new commercial activities and allocating credit to them. Financial access can really boost the financial condition and standards of life of the poor and the disadvantaged population of the country. Lack of accessible, affordable and appropriate financial services has always been an Indian problem and effective inclusive financial system is needed for economic growth of the country.

Reserve bank of India (RBI) and government plays an important role in promoting financial inclusion for economic growth to increase the banking penetration, installation of new ATMs and implementation of various schemes in the country also with the Government launching of schemes like Pradhan Mantri Jan Dhan Yojna. The Reserve Bank has used FIPs to gauge the performance of banks under their financial inclusion initiatives. During the first phase of FIPs 2010–2013 a large number of bank accounts have been opened. However, it has been observed that the accounts opened and the banking infrastructure created has not seen substantial operations in terms of transactions. The most robust relationship is observed among financial inclusion and economic growth of the country. Also, by the launch of PMJDY in 2014 there had been a large growth in no. of ATM's i.e-40.3% which signifies its role in the financial inclusion. The number of bank branches increased significantly from 2011-12 to 2019-20, driven by financial inclusion initiatives under PMJDY. This expansion ensured that more people, especially in rural and underserved areas, gained access to formal banking services. The number of bank branches increased significantly from 2011-12 to 2019-20, driven by financial inclusion initiatives under PMJDY. This expansion ensured that more people, especially in rural and underserved areas, gained access to formal banking services. The PMJDY initiative was instrumental in opening millions of bank accounts, many of which were in rural areas. This increased banking penetration and provided a foundation for further financial inclusion activities. The PMJDY initiative was instrumental in opening millions of bank accounts, many of which were in rural areas. This increased banking penetration and provided a foundation for further financial inclusion activities.

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financial inclusion activities. The PMJDY initiative was instrumental in opening millions of bank accounts, many of which were in rural areas. This increased banking penetration and provided a foundation for further financial inclusion activities.

Despite the significant progress, challenges remain in terms of financial literacy, digital infrastructure, and the sustainable usage of bank account. Future efforts should focus on enhancing digital banking infrastructure, promoting financial literacy, and ensuring that the benefits of financial inclusion translate into sustained economic growth.

The study demonstrates that financial inclusion, facilitated by initiatives like PMJDY and the expansion of bank branches and ATMs, has a substantial positive impact on India's GDP. By providing more people with access to formal banking services, the country has been able to improve economic participation, increase savings and investment rates, and enhance overall economic efficiency. However, to sustain and amplify these benefits, it is crucial to address the remaining challenges, particularly in digital and financial literacy, and to continue evolving the financial infrastructure to meet the changing needs of the population. The success of financial inclusion efforts can serve as a model for other developing economies aiming to achieve inclusive growth and economic development.

The present study found the positive significant impact of number of bank branches on GDP of the country. Whereas one indicator of financial inclusion, ATMs growth rate has been shown a statistically insignificant impact on Indian GDP. Hence, the study observed that financial inclusion is strongly associated with the progress and development of the economy. In spite of this there should be a need for proper financial inclusion regulation in the country to access financial services and customer awareness E-banking training and financial literacy programmes should be organized. Thus, financial inclusion is a long journey which India needs to travel to make it completely successful.

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